

Activity 2 - Chain of Thought

Bank Transaction Failure Analysis

Scenario: Customer tries to transfer Rs.50,000. Transaction failed. Error shown:
"Transaction could not be completed."

Purpose of Chain of Thought

Chain of Thought is a structured way of reasoning where the AI or analyst breaks down a problem into smaller steps and evaluates possible causes before reaching a conclusion.

Reasoning Flow

Start

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Transaction Failed

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Check Customer Related Issues

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+++> Daily Limit Exceeded

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+++> Insufficient Balance

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+++> Beneficiary Inactive

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+++> OTP Expired

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Check System Related Issues

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+++> Bank Server Unavailable

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+++> Core Banking Unavailable

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+++> UPI Switch Unavailable

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+++> Network Timeout

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Check Security Rules

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+--> Fraud Rule Triggered

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v

Identify Root Cause and Inform Customer

Step-by-Step Analysis

- Daily Limit Exceeded: The customer may have already reached the maximum transfer limit allowed for the day.
- Insufficient Balance: The account may not have enough funds to complete the transfer.
- Bank Server Unavailable: The bank server may be temporarily down or under maintenance.
- OTP Expired: The customer may have entered an OTP after its validity period expired.
- Network Timeout: The transaction request may not have reached the bank system due to a network delay.
- Beneficiary Inactive: The beneficiary account may be inactive, blocked, or unavailable.
- Fraud Rule Triggered: The transaction may have matched a fraud prevention rule and was blocked for security reasons.
- Core Banking Unavailable: The central banking system may not be responding.
- UPI Switch Unavailable: The external UPI routing service may not be available at that moment.

Possible Troubleshooting Sequence

1. Verify account balance.
2. Check daily transaction limit.
3. Confirm beneficiary account status.
4. Validate OTP timing.
5. Review fraud monitoring alerts.
6. Check bank server health.
7. Check core banking availability.
8. Check UPI switch status.
9. Review network logs and timeout events.

Conclusion

Instead of assuming a single cause, Chain of Thought reasoning evaluates multiple possibilities systematically. For this transaction failure, both customer-side issues and banking infrastructure issues must be examined before identifying the actual root cause.